

FINANCE COMMISSION

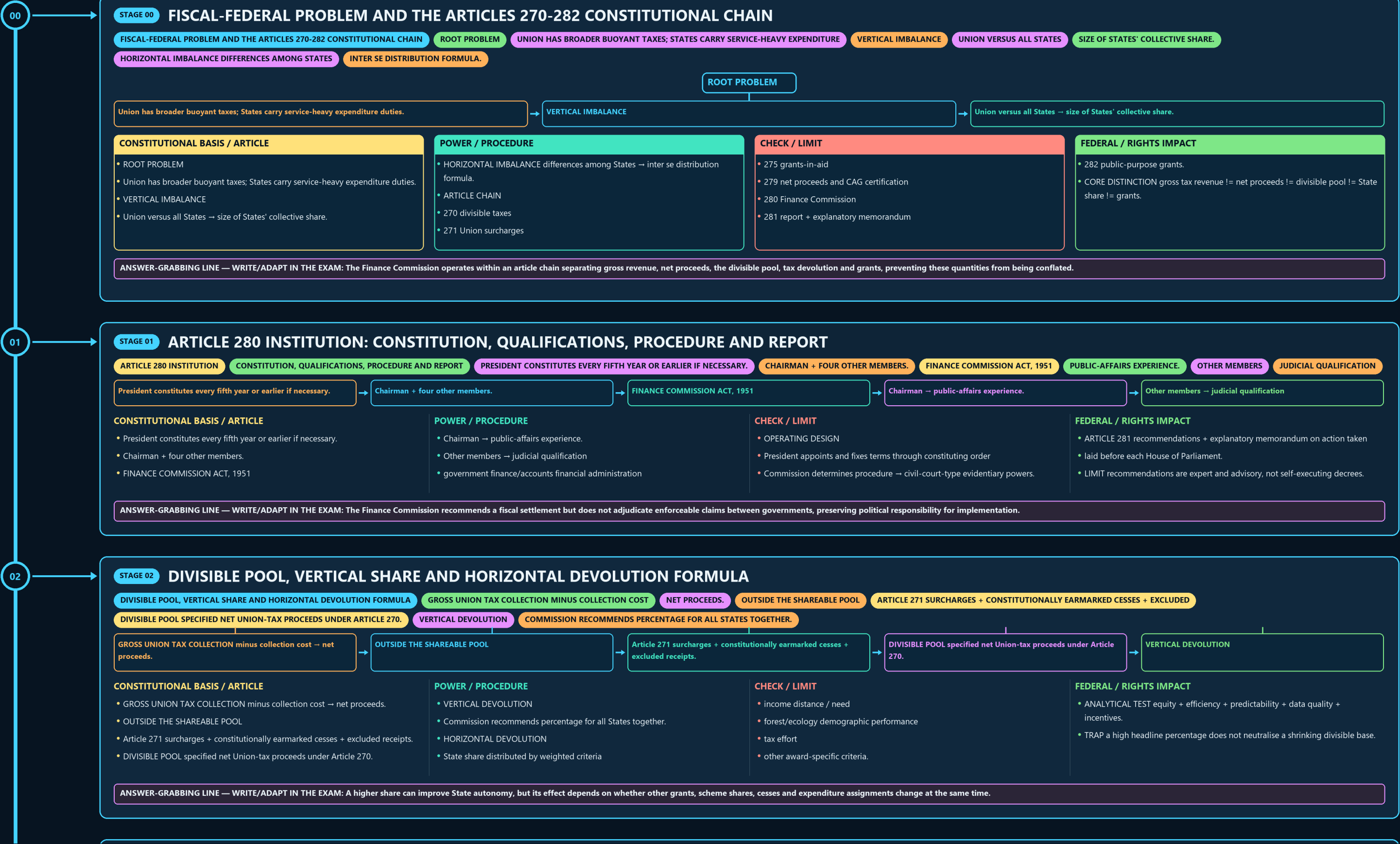
FISCAL-FEDERAL PROBLEM AND THE → ARTICLE 280 INSTITUTION: CONSTITUTION → DIVISIBLE POOL, VERTICAL SHARE → GRANTS-IN-AID, ARTICLE 282 AND → PANCHAYAT, MUNICIPALITY AND STATE → FOURTEENTH, FIFTEENTH AND SIXTEENTH

Read the thick cyan rail from Stage 00 to the final core synthesis. Each card uses a concept-appropriate structure; the grey E card is optional enrichment only and never repairs missing core content.

PRIMARY CORE FLOW SUBORDINATE EXTRA APPROVAL / REVIEW

Approval: FALSE • Pending user review • active generation g2 repaired in place for answer-line and visual-boundary quality • all prior artifacts unchanged

CORE BEFORE EXTRA • prior artefacts unchanged • exact same master drives poster and tiles



02

STAGE 02 DIVISIBLE POOL, VERTICAL SHARE AND HORIZONTAL DEVOLUTION FORMULA

DIVISIBLE POOL, VERTICAL SHARE AND HORIZONTAL DEVOLUTION FORMULA

GROSS UNION TAX COLLECTION MINUS COLLECTION COST

NET PROCEEDS.

OUTSIDE THE SHAREABLE POOL

ARTICLE 271 SURCHARGES + CONSTITUTIONALLY EARMARKED CESSSES + EXCLUDED

DIVISIBLE POOL SPECIFIED NET UNION-TAX PROCEEDS UNDER ARTICLE 270.

VERTICAL DEVOLUTION

COMMISSION RECOMMENDS PERCENTAGE FOR ALL STATES TOGETHER.

GROSS UNION TAX COLLECTION minus collection cost → net proceeds.

OUTSIDE THE SHAREABLE POOL

Article 271 surcharges + constitutionally earmarked cesses + excluded receipts.

DIVISIBLE POOL specified net Union-tax proceeds under Article 270.

VERTICAL DEVOLUTION

CONSTITUTIONAL BASIS / ARTICLE

- GROSS UNION TAX COLLECTION minus collection cost → net proceeds.
- OUTSIDE THE SHAREABLE POOL
- Article 271 surcharges + constitutionally earmarked cesses + excluded receipts.
- DIVISIBLE POOL specified net Union-tax proceeds under Article 270.

POWER / PROCEDURE

- VERTICAL DEVOLUTION
- Commission recommends percentage for all States together.
- HORIZONTAL DEVOLUTION
- State share distributed by weighted criteria

CHECK / LIMIT

- income distance / need
- forest/ecology demographic performance
- tax effort
- other award-specific criteria.

FEDERAL / RIGHTS IMPACT

- ANALYTICAL TEST equity + efficiency + predictability + data quality + incentives.
- TRAP a high headline percentage does not neutralise a shrinking divisible base.

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: A higher share can improve State autonomy, but its effect depends on whether other grants, scheme shares, cesses and expenditure assignments change at the same time.

03

STAGE 03 GRANTS-IN-AID, ARTICLE 282 AND THE TAX-VERSUS-GRANT DISTINCTION

GRANTS-IN-AID, ARTICLE 282 AND THE TAX-VERSUS-GRANT DISTINCTION

ARTICLE 275

PARLIAMENT MAY PROVIDE GRANTS-IN-AID OF REVENUES OF STATES IN

FINANCE COMMISSION ROLE RECOMMEND PRINCIPLES GOVERNING ARTICLE 275 GRANTS

ARTICLE 282

UNION OR STATE MAY MAKE GRANTS FOR ANY PUBLIC

BHIM SINGH (2010) SUPPORTS THE BREADTH OF ARTICLE 282

TAX DEVOLUTION GRANT SHARE IN COMMON TAX POOL TRANSFER

ARTICLE 275

Parliament may provide grants-in-aid of revenues of States in need and constitutionally specified welfare/administration grants.

FINANCE COMMISSION ROLE recommend principles governing Article 275 grants and award-specific grant categories within terms

ARTICLE 282

CONSTITUTIONAL BASIS / ARTICLE

- ARTICLE 275
- Parliament may provide grants-in-aid of revenues of States in need and constitutionally specified welfare/administration grants.

POWER / PROCEDURE

- FINANCE COMMISSION ROLE recommend principles governing Article 275 grants and award-specific grant categories within terms of reference.
- ARTICLE 282

CHECK / LIMIT

- Union or State may make grants for any public purpose even beyond the ordinary legislative field.
- Bhim Singh (2010) supports the breadth of Article 282 public-purpose grants.

FEDERAL / RIGHTS IMPACT

- TAX DEVOLUTION GRANT share in common tax pool transfer for need/purpose/design formula entitlement may be conditional or category-specific.
- Finance Commission grant, Article 282 grant and centrally sponsored scheme are not synonyms.

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: The Constitution does not itself list the detailed qualification categories, tenure, disqualifications or evidentiary powers.

04

STAGE 04 PANCHAYAT, MUNICIPALITY AND STATE FINANCE COMMISSION AUGMENTATION CHAIN

PANCHAYAT, MUNICIPALITY AND STATE FINANCE COMMISSION AUGMENTATION CHAIN

73RD AND 74TH AMENDMENT LINK

ARTICLE 280(3)(BB)

AUGMENT STATE CONSOLIDATED FUND FOR PANCHAYATS.

ARTICLE 280(3)(C)

AUGMENT STATE CONSOLIDATED FUND FOR MUNICIPALITIES.

TEXTUAL BASIS RECOMMENDATIONS OF THE STATE FINANCE COMMISSION UNDER

FLOW LOCAL FUNCTIONS AND FINANCES

CONSTITUTIONAL BASIS / ARTICLE

- 73RD AND 74TH AMENDMENT LINK
- Article 280(3)(bb) → augment State Consolidated Fund for Panchayats.
- Article 280(3)(c) → augment State Consolidated Fund for Municipalities.

POWER / PROCEDURE

- TEXTUAL BASIS recommendations of the State Finance Commission under Articles 243I and 243Y.
- FLOW local functions and finances → SFC assessment
- Union Finance Commission augmentation recommendation

CHECK / LIMIT

- Union budget/guidelines → State fund → eligible local bodies.
- ACCOUNTABILITY accounts + audit + timely SFCs + transparent release + service outcomes.
- Union local-body grants supplement; they do not replace State devolution, own revenue or the constitutional role of State Finance Commissions.

FEDERAL / RIGHTS IMPACT

- TEXTUAL BASIS recommendations of the State Finance Commission under Articles 243I and 243Y.

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: National grants can support local bodies, but cannot substitute for State-level tax assignment, functional devolution, accounting and elected accountability.

05

STAGE 05 FOURTEENTH, FIFTEENTH AND SIXTEENTH FINANCE COMMISSION TRAJECTORY

FOURTEENTH, FIFTEENTH AND SIXTEENTH FINANCE COMMISSION TRAJECTORY

FOURTEENTH FINANCE COMMISSION

STATES' VERTICAL SHARE RAISED FROM 32% TO 42%.

FIFTEENTH FINANCE COMMISSION

41% VERTICAL SHARE; SIX HORIZONTAL CRITERIA INCLUDING DEMOGRAPHIC PERFORMANCE

SIXTEENTH FINANCE COMMISSION CONSTITUTED 31 DECEMBER 2023

REPORT SUBMITTED 17 NOVEMBER 2025

AWARD PERIOD 2026-27 TO 2030-31

FOURTEENTH FINANCE COMMISSION: 2015-20

States' vertical share raised from 32% to 42%.

FIFTEENTH FINANCE COMMISSION: 2021-26

41% vertical share; six horizontal criteria including demographic performance, forest/ecology and tax/fiscal effort.

SIXTEENTH FINANCE COMMISSION constituted 31 December 2023 → report submitted 17 November 2025

- 73RD AND 74TH AMENDMENT LINK
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ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: National grants can support local bodies, but cannot substitute for State-level tax assignment, functional devolution, accounting and elected accountability.

STAGE 05 FOURTEENTH, FIFTEENTH AND SIXTEENTH FINANCE COMMISSION TRAJECTORY

41% VERTICAL SHARE; SIX HORIZONTAL CRITERIA INCLUDING DEMOGRAPHIC PERFORMANCE

- FOURTEENTH FINANCE COMMISSION: 2015-20
- States' vertical share raised from 32% to 42%.
- FIFTEENTH FINANCE COMMISSION: 2021-26

- 41% vertical share; six horizontal criteria including demographic performance, forest/ecology and tax/fiscal effort.
- SIXTEENTH FINANCE COMMISSION constituted 31 December 2023 → report submitted 17 November 2025
- award period 2026-27 to 2030-31

- Explanatory Memorandum tabled 1 February 2026.
- DATED CONTROL
- 41% vertical share accepted for 2026-31.

- Per-capita GSDP distance carries the largest horizontal weight, 42.5%
- GDP contribution appears with 10% weight.
- LIMIT report recommendation, government acceptance and annual implementation must remain separate.

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: The Fourteenth to Sixteenth Commissions show broad continuity in vertical devolution alongside changing horizontal criteria, rather than an identical gain or loss for every State.

STAGE 06 DISASTER FINANCE, DEBT, BORROWING AND WHOLE-GOVERNMENT FISCAL RISK

TRANSPARENT LIABILITIES

OFF-BUDGET RISK PUBLIC ENTITIES BORROW OR DEFER PAYMENT OUTSIDE

- **DISASTER FINANCE**
- Finance Commission may recommend disaster-management funding arrangements within its terms of reference and the Disaster Management Act framework.
- **FISCAL ROADMAP** deficit and debt paths → Union/State sustainability

- transparent liabilities → credible budget institutions.
- OFF-BUDGET RISK public entities borrow or defer payment outside headline budget
- contingent liability or future servicing pressure

- incomplete fiscal picture unless consolidated.
- ARTICLE 293 LINK
- State borrowing and Union consent conditions belong to the wider fiscal-federal system.

- REFORM comparable accounts + debt register + guarantee disclosure
- independent projections + medium-term correction.
- Finance Commission advice does not itself amend borrowing law or erase political choices.

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: The Fifteenth Commission combined income distance with population, area, ecology, demographic performance and tax effort, balancing equalisation with incentives within a forty-one-percent State share.

STAGE 07 FINANCE COMMISSION COMPARED WITH GST COUNCIL, NITI AAYOG, CAG AND SFC

CONTINUING UNION-STATE FORUM

Article 280	periodic expert body	tax devolution + grants + fiscal advice.
Article 279A	continuing Union-State forum	GST recommendations and bargaining.
NITI AAYOG executive-resolution policy platform	strategy and cooperative dialogue no Article 280 transfer award.	
Articles 148-151	audits and certifies net proceeds under Article 279 does not allocate the divisible pool.	
Articles 243I/243Y	State-local fiscal relations every five years.	

- FINANCE COMMISSION
- Article 280
- periodic expert body

- Article 279A
- continuing Union-State forum
- GST recommendations and bargaining.

- strategy and cooperative dialogue no Article 280 transfer award.
- Articles 148-151
- audits and certifies net proceeds under Article 279 does not allocate the

- State-local fiscal relations every five years.
- TRAP coordination, distribution, strategy, audit and State-local review are different functions.

STAGE 07 FINANCE COMMISSION COMPARED WITH GST COUNCIL, NITI AAYOG, CAG AND SFC

FINANCE COMMISSION COMPARED WITH GST COUNCIL, NITI AAYOG, CAG	FINANCE COMMISSION	ARTICLE 280	PERIODIC EXPERT BODY	TAX DEVOLUTION + GRANTS + FISCAL ADVICE.	GST COUNCIL	ARTICLE 279A	CONTINUING UNION-STATE FORUM
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Articles 243I/243Y	State-local fiscal relations every five years.	

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: The Fourteenth Finance Commission shifted transfers toward predictable and relatively untied devolution, strengthening State autonomy as plan-era allocation receded.

STAGE 08 FISCAL-FEDERAL DEBATES, PYQ ROUTES, TRAPS AND FINAL ANSWER SPINE

FISCAL-FEDERAL DEBATES, PYQ ROUTES, TRAPS AND FINAL ANSWER SPINE	CORE DEBATES CESSES/SURCHARGES AND DIVISIBLE-POOL EROSION	EQUITY VERSUS INCENTIVE DATA LAG AND CLIMATE/ECOLOGY COSTS	TIED SCHEMES VERSUS STATE AUTONOMY LOCAL-BODY ABSORPTION AND ACCOUNTABILITY
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DEBT AND OFF-BUDGET OPACITY. PRELIMS FIREWALL CHAIR + FOUR FIVE YEARS OR EARLIER

CONSTITUTIONAL BASIS / ARTICLE	POWER / PROCEDURE	CHECK / LIMIT	FEDERAL / RIGHTS IMPACT
- CORE DEBATES cesses/surcharges and divisible-pool erosion - equity versus incentive data lag and climate/ecology costs - tied schemes versus State autonomy local-body absorption and accountability - debt and off-budget opacity. - PRELIMS FIREWALL	- five years or earlier - President constitutes - Article 281 requires report and memorandum vertical != horizontal - Article 275 != Article 282 - SFC != Union Finance Commission	- PYQ ROUTES 2018 constitution/ToR 2021 Fourteenth FC 2023 horizontal criteria 2025 Fifteenth FC facts	- MAINS SPINE define imbalance → article chain → transfer mechanism → award evidence - contested incentive/autonomy effect → implementation qualification - predictable, transparent and accountable fiscal-federal verdict.

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: Cesses and surcharges reduce the shareable base even when gross Union revenue rises, making transparency and sunset review important without misreporting proposals as enacted rules.

EXTRA SUBORDINATE ENRICHMENT — ONLY AFTER THE COMPLETE CORE

OPTIONAL ADVANCED ENRICHMENT	PART A — CONSTITUTION & COMPOSITION (ART 280)	PART B — FUNCTIONS	PART C — ADVISORY ROLE & FISCAL FEDERALISM	PART D — 16TH FINANCE COMMISSION (CURRENT)	RECOMMENDATIONS ARE ADVISORY, NOT BINDING — BUT (DR. P.V.
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TILL 2014 THE FC'S ROLE WAS UNDERMINED BY THE "NET PROCEEDS"

OPTIONAL STATUS — This optional depth is unnecessary for a competent core answer; use it only for added nuance after the complete core has been written.